International Trade & Business Growth

Exam code: 9BS0

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Business specialisation and competitive advantage

Imports and exports

- Businesses that trade internationally import and export goods/services
  - **Imports** are goods and services **bought by people and businesses in one country from another country**
    - In 2022, the UK's biggest import was cars, valued at approximately £3.25bn
  - **Exports** are goods and services **sold by domestic businesses** to people or businesses in other countries
    - In 2022, China's biggest export was smartphone manufacturing, valued at approximately $21.4bn
- Exports generate **extra revenue** for businesses selling their goods abroad
- Imports result in money leaving the country, which generates **extra revenue for foreign businesses**

Specialisation and competitive advantage

- **Specialisation** occurs when a country/business decides to focus on producing a particular good/service
  - Businesses specialise when they focus on a specific good/service; e.g. Apple focuses on the production of technological products and services
  - Countries can also specialise in a narrow range of goods and services; e.g. Ghana specialises in cocoa and gold
- Specialisation can increase the quantity and quality of goods and services produced. This has many benefits, including:
  - **Lower unit costs** due to **economies of scale**, as costs are spread over a large output
  - Lower unit costs allow the business to **lower prices** for consumers, leading to more sales
  - If businesses do not lower their selling price, then, due to the lower costs, they are able to **increase their profit margins**

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- If they can **increase the value added** on their goods/services, this can help to **gain an edge over their competitors**
- An example of a competitive advantage is having access to markets, resources and materials that competitors do not have access to

Foreign direct investment and business growth

- **Foreign direct investment (FDI) is investment by foreign firms that results in more than a 10% share of ownership in domestic firms**
- Businesses typically grow through FDI as mergers, takeovers, partnerships or **joint ventures** are created with a foreign business in order to enter new markets
  - E.g. EE was formed in 2012 as a joint venture between the French company Orange and the German company T-Mobile, allowing access to a greater share of the UK market
- Countries benefit from **FDI**, as it can lead to:
  - **Increased economic growth**, as there is an inflow of money into the country
  - **Increased job opportunities** as businesses expand operations
  - **Access to knowledge and expertise** from foreign investors
- **Inward FDI** occurs when a foreign business **invests in the local economy**
  - E.g. in 2017, Kenya opened the Kenya Standard Gauge Railway line built by Chinese investors
- **Outward FDI** occurs when a domestic business expands its operations **to a foreign country**
  - E.g. Dyson has moved its manufacturing from the UK to Malaysia, China and the Philippines

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